



DEPARTMENT OF EDUCATION

Colorado State Board of Education

RULES FOR THE ADMINISTRATION OF THE SCHOOL DISTRICT BUDGET LAW

1 CCR 301-38

[Editor's Notes follow the text of the rules at the end of this CCR Document.]

Adopted: 6-9-94, 3-6-08

Attorney General Opinion: 6-29-94

Statutory Authority: 22-44-105, 22-44-111, 22-30.5-104, 22-30.5-503, 22-2-107(I)(c), 22-30.5-603, C.R.S.

2244-R-1.00 Applicability.

The rules stated herein shall apply to Colorado public school districts. The term districts shall include public school districts, the charter school institute, charter schools, charter school collaboratives, and boards of cooperative educational services.

2244-R-2.00 Summary Budget Format.

Districts shall utilize a Summary budget format in presenting their budgets. The Summary budget format shall be understandable to any layperson and shall meet the following guidelines.

- 2.01 The budget format shall allow comparisons of revenues and expenditures among districts by pupil.
- 2.02 The budget format shall itemize expenditures of the district by fund and by pupil. The budget shall describe the expenditure and show the amount budgeted for the current fiscal year, the amount estimated to be expended for the current fiscal year, and the amount budgeted for the ensuing fiscal year.
- 2.03 The budget shall ensure that the district holds unrestricted general fund or cash fund emergency reserves in the amount required under the provisions of section 20 (5) of article X of the state constitution; except that, if a board of education provides for a district emergency reserve in the General Fund for the budget year, established at an amount equal to at least 3% of the amount budgeted to the General Fund, the board may: (1) designate real property owned by the district as all or a portion of the reserve required as long as the board has filed with the state treasurer and the Department of Education a letter of intent that expresses the intent of the board to increase the liquidity of such property upon the occurrence of a declared emergency within the meaning of section 20 (5) of article X of the state constitution by entering into one or more lease-purchase agreements with respect to such property or by other means acceptable to the state treasurer, or (ii) secure a letter of credit from an investment-grade bank as all or a portion of the reserve required so long as the board has filed with the state treasurer and the Department of Education a letter of intent that expresses the intent of the board to satisfy its obligation to reimburse the bank for moneys drawn on the letter of credit upon the occurrence of a declared emergency that are not reimbursed to the bank within the same fiscal year by entering into lease-purchase agreements with respect to real property owned by the district.
- 2.04 The budget shall summarize revenues by revenue source and shall summarize expenditures by chart of account program, fund, and object.

- 2.05 The adopted budget shall not provide for expenditures, interfund transfers, or reserves, in excess of available revenues and beginning fund balances.
- 2.06 If the budget includes the use of a beginning fund balance or if at any time during the fiscal year following the adoption of a budget by a board of education the school district determines that the use of an additional portion of the school district's beginning fund balance is necessary, the district board of education shall adopt a resolution specifically authorizing the use of a portion of the beginning fund balance in the district budget. The resolution, at a minimum, shall specify the amount of the beginning fund balance to be spent under the district budget, state the purpose for which the expenditure is needed, and state the district's plan to ensure that the use of the beginning fund balance will not lead to an ongoing deficit.
- 2.07 Each district shall annually prepare an itemized reconciliation between the fiscal year end fund balances based on a budgetary basis of accounting used by the district and the fiscal year end fund balances based on the modified accrual basis of accounting. The reconciliation shall include, but need not be limited to, the liability for accrued salaries and related benefits. The reconciliation shall be included with the final version of the amended budget and the annual audited financial statements.
- 2.08 The proposed expenditures and anticipated revenues in the budget shall be supported as needed by explanatory schedules or statements of sufficient detail to judge the validity thereof, including a statement which summarizes the aggregate of revenues, appropriations, assets, and liabilities of each fund in balanced relations. The budget shall disclose planned compliance with section 20 of article X of the state constitution.
- 2.09 The summary budget shall be presented annually to the community on the Summary budget report adopted periodically by the state board of education. The Summary budget report will reflect the criteria required by rules 2244-R-2.00 through 2.09.

2244-R-3.00 Uniform Summary Sheet

The state board of education, with input and recommendations from the financial policies and procedures advisory committee created in the department of education, shall establish by rule the standard budget report format and uniform summary sheet format to be used by each board of education.

- 3.01 Each district shall include a uniform summary sheet within its adopted annual budget each year.
- 3.02 For each fund budgeted by the district, the following information will be provided within its adopted budget: budgeted pupil count, beginning fund balance, revenues by grouped source, allocations to/from other funds, transfers to/from other funds, expenditures by program and object group, reserves, and non-appropriated reserves.

2244-R-4.00 Statement of Basis and Purpose.

The basis for these rules is found in C.R.S. Article 44 of Title 22, School District Budget Law; Article 30.5 of Title 22, Charter Schools; as well as in Section 22-2-107(l)(c) which relates to the duties of the state board of education. School District Budget Law requires the state board of education to establish in rule and regulation a Summary budget format that meets certain criteria relating to the need for the public to be able to understand and compare school district budgets. These rules establish a Summary budget format and require school districts to utilize the summary budget report adopted by the state board of education in presenting their budget to the community and the adopted annual budget data to the department of education.

4.01 Statement of Basis and Purpose Amendments. The 2010 changes to the rules are being made due to statutory amendments included in HB 08-1388, HB 10-1013, HB 10-1171, SB 09-256, and SB 10-161.

The rules are being modified to include charter school collaboratives for purposes of applicability, elimination of the budget reporting requirements to the department, addition of a required uniform summary sheet format to the budget process, and expansion of the 3% emergency reserve requirement to allow a letter of credit or designation of real property.

Editor's Notes

History

Entire rule eff. 04/30/2008.

Entire rule eff. 03/02/2011.